No. 18-0918

IN THE

Supreme Court of the United States

OCTOBER TERM, 2018

IN RE BACKSTREETS PLOWING, INC., DEBTOR

STEVEN VIN SANT, CHAPTER 7 TRUSTEE, PETITIONER

V.

MILTON WEINBERG, RESPONDENT.

ON WRIT OF CERTIORARI TO THE
UNITED STATES COURT OF APPEALS
FOR THE THIRTEENTH CIRCUIT

BRIEF FOR PETITIONER

Team Number P. 27
Counsel for Petitioner

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OPINIONS BELOW

In October 2016, Weinberg obtained a default judgment in the State of Moot Circuit Court against both Backstreet Plowing, Inc. ("Backstreet") and Clemons, jointly and severally, for $450,000 plus interest and fees. Consequently, Weinberg repossessed Clemons' snow plow trucks and now refuses to turn the trucks over to the estate. Backstreet filed a chapter 11 petition and requested the bankruptcy court determine whether Weinberg's continued retention of the vehicles constituted a violation of the automatic stay under section 362(a)(3). The bankruptcy court found that Weinberg had not violated the automatic stay provision. Petitioner timely appealed the bankruptcy court's ruling in March 2017. Shortly thereafter, Petitioner voluntarily converted the chapter 11 case to a case under chapter 7 of the Bankruptcy Code. A Trustee was appointed, and the Bankruptcy Appellate Panel stayed the pending appeal in order to allow the Trustee to substitute in for the Petitioner and get up to speed on the appeal.

In May 2017, the Trustee filed a complaint against Patti Clemons to avoid and recover prepetition transfer of assets under 11 U.S.C. § 548 and § 550. A settlement was quickly reached whereby Patti Clemons agreed to pay $75,000 to the estate in satisfaction of all claims asserted in the proceeding. After the bankruptcy court approved the settlement, Weinberg filed a motion seeking allowance of a substantial contribution administrative expense pursuant to section 503(b)(3)(D). Although the Trustee acknowledged Weinberg's substantial contribution to the estate, he opposed the motion on the grounds that administrative expenses for substantial contributions are impermissible in a chapter 7 proceeding. However, the bankruptcy court approved Weinberg's motion, granting him an allowed administrative expense in the amount of $25,000. Both the automatic stay and the substantial contribution issues were appealed by the Trustee. These appeals were consolidated before the bankruptcy appellate panel and were both affirmed. The Trustee timely appealed both determinations to United States Court of Appeals for

the Thirteenth Circuit, but the order was again affirmed. The Supreme Court of the United States then granted the Trustee's petition for a writ of certiorari.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS

The relevant statutory provisions involved in this case are listed below and are reproduced in Appendices A through H.

11 U.S.C. § 102(3)

11 U.S.C. § 362(a)(3)

11 U.S.C. § 363

11 U.S.C. § 503(b)

11 U.S.C. § 525

11 U.S.C. § 542

18 U.S.C. § 1001(a)-(b)

38 U.S.C. § 8127(d)

STATEMENT OF THE CASE

Mr. Clemons ("Clemons") owned and operated Backstreets Plowing, Inc. ("Backstreets"), a highly competitive seasonal snow plowing business that fell victim to an especially brutal winter and an estranged friendship. R. at 3-5. Like any savvy businessperson, Clemons recognized the importance modern equipment plays in remaining competitive in the industry. R. at 3. Due to the antiquated state of Clemons' equipment, he sought a loan from a bowling club comrade, Mr. Weinberg ("Weinberg"), in order to purchase state-of-the-art snow plow trucks. R. at 4. Backstreets granted Weinberg a security interest in the trucks and Clemons personally guaranteed the loan. Id. Backstreets agreed to make monthly payments to Weinberg, with payments to commence once the plowing business started generating revenue. Id. New trucks in hand, Clemons secured the City of Badlands ("Badlands") contract by outbidding all his competitors. Id.

Enthusiastic about their new partnership and mutual love of college football, Weinberg and Clemons attended the annual football game between their alma maters together. R. at 4-5. However, things quickly turned sour when Weinberg's team lost the big rivalry, which drove a wedge between the budding business partners. R. at 5. That winter, after a series of failed attempts to get in touch and a few missed payments, Weinberg barged into Clemons' workplace demanding payment, exclaimed that Clemons should "lawyer up," and subsequently filed suit in the State of Moot Circuit Court two months later. Id.

As part of the same lawsuit, Weinberg sued Clemons on his personal guarantee. Id. Weinberg obtained the revenge he sought when the court granted him default judgment against both Backstreets and Clemons, jointly and severally, for $450,000 plus interest and fees. Id. Apparently unmotivated by time or money, however, Weinberg never attempted to collect payment until January 2017, just as brutal Nor'easters blanketed the City of Badlands. R. at 6.

Further, the unusually severe weather substantially increased Backstreets' overhead costs, exceeding the monthly revenue the Badlands flat rate contract provided. R. at 5. With winter at its peak, Weinberg hired E Street Auto Recovery ("E Street") to seize the most critical asset of Clemons' operations—the snow plow trucks. R. at 6. E Street repossessed the trucks and delivered them to Weinberg's warehouse, where they sit collecting dust to this day. Id.

Unable to fulfill his plowing contract, Badlands threatened to cancel the contract with Clemons and sue for damages. Id. Out of cash and with his only potential revenue source parked in Weinberg's warehouse, Clemons was forced to file a chapter 11 petition on February 4, 2017. Id. In an effort to keep his business running, Clemons' attorneys requested Weinberg return the snow plow trucks. Id. However, Weinberg refused. Id. Faced with Weinberg's obstructive tactics, Clemons requested the bankruptcy court hold Weinberg's continued retention of the vehicles violated the automatic stay under § 362(a)(3). Id. However, noting the decision was ultimately a "close call," the bankruptcy court ruled that maintaining possession of property lawfully repossessed prepetition did not constitute an "act . . . to exercise control over the property of the estate" under § 362(a)(3). Id. On March 2017, relying upon the bankruptcy courts hint of tentativeness, Clemons appealed the court's decision. Id.

With the news that Badlands would not be renewing their contract, the summer off-season approaching, and out of money, Clemons voluntarily converted his chapter 11 case to a chapter 7 case under the Bankruptcy Code. R. at 7. A trustee was appointed by the Bankruptcy Court the following month. Id. However, rather than await the Trustee's distribution of Backstreets assets, Weinberg continued his personal crusade against Clemons by collecting on his personal guarantee judgement. Id. Further, absent any evidence whatsoever, Weinberg hired a collection firm to conduct a creditors examination of Clemons. Id. The firm learned Clemons had given $100,000 to his daughter ("Patti"). Id. Weinberg incurred $25,000 in legal fees

investigating the transfers. Id. Continuing his salted earth campaign, Weinberg "voluntarily" provided the Trustee with the evidence necessary to void the prepetition transfers. Id. Patti settled with the Trustee and agreed to pay back $75,000 to satisfy all claims. Id.

After the settlement, Weinberg filed a motion seeking allowance of his substantial contribution administrative expense pursuant to section 503(b)(3)(D). Id. Although the Trustee contended Section 503(b)(3)(D) expressly limits such administrative expenses to cases under chapters 9 and 11, the bankruptcy court found in Weinberg's favor, granting him $25,000 in administrative expenses. Id. The Trustee timely appealed. Id.

To secure its own contract with Badlands, Tenth Avenue Plowing ("Tenth Avenue") offered to purchase all of Backstreets assets, including the snow plow trucks sitting in Weinberg's warehouse. Id. However, given Weinberg's retention of the snow plow trucks, Tenth Avenue conditioned the offer on the Trustee's immediate title conveyance and possession of the trucks. Id. Believing Tenth Avenue's purchase offer would generate the greatest revenue for Backstreets' estate—thereby maximizing the benefit to all Creditors—the Trustee relentlessly pursued an amicable settlement with Weinberg. Id. Unwilling to negotiate, Weinberg refused to turn over the trucks. Id. Thus, the Trustee was left with no alternative but to continue prosecution of the appeal regarding Weinberg's violation of the automatic stay. Id.

With no end to Weinberg's obstinacy in sight, Tenth Avenue withdrew its purchase offer. Id. The Trustee was desperate to sell Backstreets' assets prior to winter coming to a close while the assets' value was still at its peak. Id. The Trustee was forced to accept a dramatically lower offer from Stone Pony Plowing, LLC ("Stone Pony"). Id. Stone Pony's offer was $100,000 less than Tenth Street's and did not include purchase of the snow plow trucks. Id. The bankruptcy court approved the sale to Stone Pony in February 2018. R. at 9.

Optimistic of prevailing over Weinberg, despite the sale to Stone Pony, the Trustee refused to dismiss the automatic stay violation and substantial contribution appeals. Id. A victory would award the Trustee the difference between the offer initially made by Tenth Avenue and the sale proceeds received from Stone Pony. R. at 8-9. Further, the Trustee believed that Weinberg was not entitled to his administrative expense of $25,000. R. at 9. The appellate panel affirmed on both issues. Id. This appeal follows. Id.

SUMMARY OF ARGUMENT

Creditors who passively retain property of the estate post-petition violate the automatic stay. First, "passive retention" falls within § 362(a)(3)'s use of "act . . . to exercise control." The word "act," in § 362(a)(3), encompasses negative action—the act of choosing to not do something—because it makes "acting" an essential condition of liability. Black's Law Dictionary indicates that when the word "act" is a condition of liability, it takes on its widest sense. Moreover, the statute's modification of "act" with the words "to exercise control" demonstrate that Congress contemplated individuals "acting" by choosing to refrain from "doing something" because the ability to so restrain oneself is essential to "control."

Second, the "passive violation" interpretation of § 362(a)(3) is consistent with the other code sections governing turnover. The "passive violation" interpretation of § 362(a)(3) is consistent with § 542(a) because, by its own text, § 542(a) is self-executing. Section 542(a) is self-executing because it states creditors "shall" turn over property. Congress demonstrated it knew how to issue a command with "shall" because it also used the word "may" to grant permission in § 542(e). Section 542(a) is also self-executing because Congress knew how to require court intervention but did not do so in § 542(a). The "passive violation" interpretation of § 362(a)(3) is consistent with § 542(a) and § 363 because adequate protection is not a condition precedent to turnover. Adequate protection is not a condition precedent to turnover because the

mere reference in § 542(a) to § 363 cannot change the words of that section to grant a right prior to turnover. Moreover, this Court's holding in Whiting Pools directly contradicts such a result.

Third, public policy considerations support the "passive violation" interpretation of § 362(a)(3). Even if the court finds that § 362(a) is merely ambiguously worded, the "passive violation" interpretation furthers most the goals of the "fresh start" and of the fair and final distribution of debtors' assets. If creditors are allowed to retain property up until the point a court rules on an adequate protection request, creditors who possess property of the estate can use the additional leverage possession grants them to gain a more favorable security package in negotiations with debtors. Doing so would force debtors to expend more resources litigating or in settlement packages, thus diminishing funds available for all creditors.

Section 503(b)(3)(D) strictly limits recovery of administrative expenses for substantial contributions to solely chapter 9 and 11 cases. First, conventional judicial construction of § 503 expressly excludes administrative expenses incurred in chapter 7 cases. The first step in statutory construction is to evaluate the disputed provision. Section 503(b)(3)(D) expressly limits administrative expenses for substantial contributions to cases under chapter 9 or 11 proceedings.

Second, only one circuit court permits administrative expenses from substantial contributions in chapter 7 proceedings based on the prefatory language in § 503(b). That circuit relies upon the expansive definition of the term "including" in § 102(3) to conclude that the list of allowable administrative expenses enumerated under § 503(b) is non-exhaustive. Thus, the circuit holds that § 503(b)(3)(D) should be construed broadly to include chapter 7 proceedings.

Third, the Thirteenth Circuit adopts the minority circuit's opinion permitting administrative expenses from substantial contributions in chapter 7 cases. The circuit court argues that Congress never intended to create an exhaustive list of allowable expenses but rather intended to create a way for creditor's to claim expenses not specifically allowed under

§ 503(b)(3)(D). However, broadening § 503(b)(3)(D) to encompass chapter 7 substantial contributions generates irreconcilable contradictions.

Fourth, the absence of non-limiting language in § 503(b)(3)(D) demonstrates the restrictive intent of the subsection. Although $ 503(b) represents a non-exhaustive list of its nine enumerated subsections, the absence of "including" in § 503(b)(3)(D) clearly indicates the provisions limited scope. This is further evident when viewed in light of § 503(b)(1)(A), which includes the term "including" in the provision language. Thus, if Congress had intended to include chapter 7 proceedings under § 503(b)(3)(D), Congress could have easily included those cases in the provision.

Fifth, the majority of circuit court's refuse to expand § 503(b)(3)(D) to encompass chapter 7 proceedings. Further, expenses incurred after a chapter 11 proceeding is converted to a chapter 7 proceeding are impermissible post-conversion. Weinberg incurred his administrative expense after the proceeding was converted from a chapter 11 proceeding to a chapter 7 proceeding. Although § 503(b) allows for circumstances not enumerated under the provision, § 503(b)(3)(D) expressly limits recovery for chapter 7 cases.

Sixth, the minority circuits misconstrue lower court holdings that allow administrative expenses that make a substantial contribution in chapter 7 proceedings. Their rulings are based upon extraordinary circumstances that exist beyond the scope of the statute. These extraordinary circumstances do not exist in the instant case.

Finally, the Respondent's efforts duplicate the Trustee's ability to manage the debtor's estate because Respondent was able to confer with the Trustee prior to commencing the action. Although expenses that are incurred because the trustee is unable to may be compensable, expenses that are incurred when the trustee is capable are not.

The overwhelming support of a contrary legislative intent supersedes any equitable considerations as a case for broadening § 503(b)(3)(D). First, equitable considerations do not justify imposing a strained interpretation of a statute when the purpose and underlying intent do not support such a conclusion. The canon of statutory construction *expressio unius est exclusio alterius* reveals that the deliberate listing of specific instances reflects a purposeful intent to exclude others.

Second, equitable considerations do not call for recovery when the totality of the circumstances indicate a contrary intent. Only actions that are performed for the estate's benefit are recoverable. Any action without the requisite intent to benefit the debtor's estate may not be claimed as an administrative expense.

Third, a party is not entitled to equitable considerations when the underlying intent of their actions is to harm the other party rather than benefit the estate. Any effort taken solely for one's own self-interest cannot be compensated regardless of any incidental benefit to the estate. The action must have been taken even without any expectation of reimbursement.

Fourth, to attain equitable consideration from the court, one's own conduct must conform to equitable considerations. The totality of the circumstances must demonstrate that the creditor acted equitably in settling the debtor's estate. Thus, similar to how a creditor's actions early in a case may prove to be a substantial benefit, actions later in the case may prove to bear a substantial cost that precludes recovery.

Fifth, the Thirteenth Circuit's inclusion of chapter 7 proceedings in § 503(b)(3)(D) renders the statute without meaning. The court's duty is to give every word in a statute meaning. Thus, including chapter 7 proceedings under § 503(b)(3)(D) would render the provision superfluous. Additionally, permitting such an interpretation would impose no limit to the types of proceedings that allow administrative expenses that result in substantial contributions.

Sixth, Congress intended to limit the circumstances where a creditor may recover administrative expenses from substantial contributions to chapter 9 or 11 proceedings. Furthermore, prior versions of the Bankruptcy Code ("Code") consistently show that only claims in chapter 9 or 11 proceedings were permissible. However, § 503(b) does not preclude a creditor from recovering administrative expenses in a chapter 7 proceeding. A creditor still possesses an avenue towards recovering administrative expenses under either §§ 503(b)(3)(B) or 503(b)(4) pending receipt of prior approval.

Seventh, limiting administrative expenses to only chapter 9 or 11 proceedings conforms with the underlying policy considerations motivating § 503(b). Claims are strictly construed because priority claims under § 503(b)(3)(D) reduce the total available funds in the estate available for creditor and other claimants. Therefore, equitable considerations ought to restrict recovery of administrative expenses because they reduce the available funds to other creditors.

ARGUMENT

The facts of this case are undisputed. R. at 9. This appeal presents only questions of law, which are reviewed de novo. In re Soileau, 488 F.3d 302, 305 (5th Cir. 2007).

I. Creditors Who Passively Retain Property of the Estate Post-Petition Violate the Automatic Stay.

A facile scan of any sentence may leave a reader with a superficially reasonable understanding of its writer's intent. In everyday life, breezing along the surfaces of words may sometimes even be the most practical way to encounter language. Of course, when individuals' livelihoods hang in the balance of a court proceeding, glossing over the governing statute will not do. In this case, a breezy reading of the Code has led Respondent to believe he is entitled to clutch onto the snowplow trucks that were essential to Mr. Clemons' livelihood.

Whether Respondent acted in this way merely because he held a years-old grudge or in order to selfishly gain some advantage over other creditors is only known to him. Regardless, as

a result of Respondent's actions, Mr. Clemons was denied his chance to restart his snowplow business and pay back all of his business's creditors, including Respondent, in an equitable fashion—one that would have consumed far fewer of the courts' resources. A majority of circuits would put a stop to Respondent's actions for violation of the automatic stay. See Weber v. SEFCU (In re Weber), 719 F.3d 72, 83 (2d Cir. 2013); Thompson v. Gen. Motors Acceptance Corp., 566 F.3d 699, 708 (7th Cir. 2009); In re Del Mission Ltd., 98 F.3d 1147, 1154 (9th Cir. 1996); In re Sharon, 234 B.R. 676, 690 (B.A.P. 6th Cir. 1999). The two-circuit minority would not. See WD Equip., LLC v. Cowen (In re Cowen), 849 F.3d 943, 951 (10th Cir. 2017); United States v. Inslaw, Inc., 932 F.2d 1467, 1474 (D.C. Cir. 1991). If Respondent's actions are allowed to stand, the goals of providing a "fresh start" to debtors and of efficient repayment to creditors, so central to the Code, will be quashed in favor of the subclass of creditors who possess property of the estate. In re Selinsky, 365 B.R. 260, 267 (Bankr. S.D. Fla. 2007). Notably, this subclass includes "persons who could make no substantial adverse claim to a debtor's property." Del Mission, 98 F.3d at 1151.

The Code, though, prevents such a result. Respondent's retention of the Backstreets snowplow trucks violated the automatic stay for three reasons. First, a thorough reading of § 362(a)(3) reveals passive retention of property of the estate ("passive retention") unambiguously falls within the statute's use of the words "act . . . to exercise control." Second, the "passive retention" reading of § 362(a)(3) is consistent with the provisions of the Code governing turnover. Third, if the court rejects our premise that § 362(a)(3) unambiguously states "passive retention" violates the automatic stay, our foregoing arguments raise a substantive question regarding the statue's interpretation. As such, we request this Court weigh the policy effects that informed Congressional intent with respect to § 362(a)(3). Because the balance of

policy effects weigh in the majority's favor, Congressional intent must have been to make "passive retention" a violation of the automatic stay.

A. "Passive Retention" Falls Within § 362(a)(3)'s Use of "Act . . . to Exercise Control."

The superficial reading of § 362(a)(3) that the minority uses to justify its permissive stance toward Respondent's behavior starts and stops with the word "act."

> "Act", [sic] in turn, commonly means to "take action" or "do something." New Oxford American Dictionary 15 (3d ed. 2010) (primary definition of "act"). This section, then, stays entities from doing something to obtain possession of or to exercise control over the estate's property. It does not cover "the act of passively holding onto an asset."

Cowen, 849 F.3d at 949 (internal citation omitted). "Act" may ordinarily only take on its affirmative sense, meaning "doing something." However, in § 362(a)(3), "act" takes on its more expansive sense—including both "doing something" and choosing to refrain from doing something. The minority could have come to this conclusion if it took the time to parse the ways the context surrounding "act" in § 362(a)(3) modifies the word's meaning.

"[C]ourts must presume that a legislature says in a statute what it means and means in a statute what it says there. When the words of a statute are unambiguous, then this first canon is also the last: judicial inquiry is complete." Conn. Nat'l Bank v. Germain, 503 U.S. 249, 253–54 (1992) (internal citations and quotations omitted); see also Price v. Del. State Police Fed. Credit Union, 370 F.3d 362, 368 (3d Cir. 2004) ("We are to begin with the text of a provision and, if its meaning is clear, end there."). Thus, unambiguously resolving the meaning of § 362(a)(3) will be dispositive of this matter. When inquiring into the meaning of a term neither defined by statute nor a term of art, courts typically inquire into the ordinary definition of the term, other valid definitions, and the context in which the term is used. Taniguchi v. Kan Pac. Saipan, Ltd., 566 U.S. 560, 566 (2012); Asgrow Seed Co. v. Winterboer, 513 U.S. 179, 187 (1995). Courts should

apply a particular definition where context requires. Taniguchi, 566 U.S. at 569. Courts only default to the ordinary definition of a term if no alternative would be reasonable under the circumstances. Id.

Dictionaries determine the ordinary meaning of a word as well as its other valid definitions. Id. Courts should employ the definition a dictionary indicates is most appropriate in the context in which the statute employs the term. Id. (finding a statute's use of "interpreter" means oral translator where a dictionary indicated the word meant a person who translated in any way, but "especially" meant an oral translator, and where the dictionary noted the definition of "translator" meaning "translator of books or writings" was obsolete, reasoning Congress would not have used the word in its archaic sense). Further, context shows that a particular definition applies where the statute or act at issue contemplates scenarios in which the term must take on that definition. Id. (other statutes in the same act only discussed interpreters engaging in "simultaneous, consecutive, and summary modes" of translation, which were uniquely oral ways of translating, reasoning the lack of contemplation of non-oral translation methods meant Congress must have intended "interpreter" to only mean an oral translator).

First, negative action validly falls within an understanding of "act." Black's defines "act" in two ways. One definition includes only the word's affirmative sense, as "[s]omething done or performed, [especially] voluntarily; a deed." Act, Black's Law Dictionary (10th ed. 2014). The other includes affirmative and negative acts—acts consisting of a person restraining themselves from "doing something": "[t]he process of doing something or performing; an occurrence that results from a person's will being exerted on the external world." Id. If any particular person had refrained from "doing something" that they actually did, we would live in a counterfactual world. If a lawyer decides to simply not file a motion, for example, his or client's life will be impacted. Correspondingly, Respondent's decision to not return Backstreets' trucks brought us here today.

Backstreets will have a harder time organizing its estate and its creditors will recover smaller amounts than they would have in a world where Clemons had the ability to restart his business. The minority would surely be quick to point out that although Respondent's retention could validly be an "act" in some sense, this does not necessarily mean § 362(a)(3) uses the expansive sense of "act."

However, § 362(a)(3) states that negative acts violate the automatic stay. Black's includes a note under the second definition of "act" that reads, "[w]hen it is said . . . an act is one of the essential conditions of liability, we use the term in the widest sense of which it is capable. We mean by it any event which is subject to the control of the human will." Act, Black's Law Dictionary (10th ed. 2014). Although the inclusion of "especially" in the first definition of "act" indicates only voluntarily doing something, the Taniguchi dictionary indicated the definition of "interpreter" referring to a "translator of books or writings" was obsolete. Thus, the Taniguchi court dug further into the dictionary than the word "especially," recognizing that the statute was more likely employing the ordinary definition of "interpreter" because the only alternative definition was rarely used at the time the statute was written. And here, Black's not only fails to indicate a definition of "act" including negative action is obsolete, it also indicates that when "act" is an essential condition of liability, the word takes on its "widest sense." No one can violate the automatic stay under § 362(a)(3) unless he or she "act[s]." Thus, while the ordinary meaning of "act" may refer only to affirmative acts, § 362(a)(3) plainly does not use the word in its ordinary fashion. Because "acting" is essential to liability for violation of the automatic stay in this statute, Black's indicates that the broad definition of "act" is more in line with Congress's intent.

Moreover, the range of ways § 362(a)(3) contemplates a person may "act" eliminates the possibility that the statute uses "act" in a strictly affirmative sense. Section 362(a)(3) states an

"act . . . *to exercise control*" (emphasis added) violates the automatic stay. Indeed, Congress added the phrase "to exercise control" to § 362(a)(3) by amendment in 1984, indicating the statute was not functioning properly without it. Sharon, 234 B.R. at 682. Black's defines "control" as "to exercise power or influence over" and defines "power" as "the ability to act or not act."[1] Control, Black's Law Dictionary (10th ed. 2014). Recall that in Taniguchi, the act using "interpreter" referred only to "simultaneous, consecutive, and summary modes of translating," which are exclusively oral methods of translating. But the very phrase in § 362(a)(3) in which "act" appears contemplates "acting" by choosing to do something in particular or choosing not to do that thing. While the uniquely oral translating methods contemplated by the act in Taniguchi were evidence that Congress only meant "interpreter" to mean an oral translator, the fact that § 362(a)(3) contemplates affirmative and negative action shows Congress meant "act" to refer to affirmative and negative acts.

B. The "Passive Violation" Interpretation of § 362(a)(3) Is Consistent With the Other Code Sections Governing Turnover.

i. The "Passive Violation" Interpretation of § 362(a)(3) Is Consistent With § 542(a) Because, By Its Own Text, § 542(a) Is Self-Executing.

"Perhaps acknowledging that its plain meaning analysis is incomplete," the minority also argues that a "passive violation" reading of § 362(a)(3) conflicts with § 542(a). See In re Hall, 502 B.R. 650, 654-59 (Bankr. D.D.C. 2014); R. at 12-14, 24. The minority understands § 542(a) to not be self-executing. Hall, 502 B.R. at 654. As such, § 542(a) would allow creditors who possess property of the estate when the petition is filed to hold this property until the trustee requests turnover. The creditor could not "exercise control" over property of the estate prior to a trustee's request for turnover because the estate would lack a right to possession at filing. Like its

[1] Interestingly, this definition of "power" uses the narrow definition of "act," referring only to affirmative "acts." However, it points us to the conclusion that § 362(a)(3) uses "act" in its broad sense.

reading of § 362(a)(3), though, the minority's reading of § 542(a) is full of gaps and only loosely related to statutory text. Even if "section 542(a) merely provides a procedure whereby a trustee can seek entry of an order compelling turnover of property of the estate that is held by another," R. at 12 (citing Hall, 502 B.R. at 654-59), "turnover issues are not coextensive with issues relating to application of the automatic stay." Mwangi v. Wells Fargo Bank, N.A. (In re Mwangi), 432 B.R. 812, 822, (B.A.P. 9th Cir. 2010) ("it is irrelevant [to a potential violation of the automatic stay] whether Wells Fargo's national policy of holding the account funds until requested by the trustee to release them might have been in technical compliance with § 542(b)," reasoning the estate's right to possession may exist independently of turnover statutes). Further, the Thirteenth Circuit claims its position in favor of Respondent is "bolstered" by Fed. R. Bankr. P. 7001(1), which defines "a proceeding to recover money or property" as an "adversary proceeding." Somehow, the argument leaps from this premise to the conclusion that the estate has no right to possession prior to the trustee's initiation of an adversary proceeding. See R. at 13 n.7.

"By its express terms, section 542(a) is self-executing, and does not require that the trustee take any action or commence a proceeding or obtain a court order to compel the turnover." 5 Collier on Bankruptcy ¶ 542.03 (16th ed. 2018). A faithful reading of § 542(a) reveals the statute "grants to the estate a possessory interest in certain property of the debtor that was not held by the debtor at the commencement of reorganization proceedings." Sharon, 234 B.R. at 681 (citing United States v. Whiting Pools, Inc., 462 U.S. 198, 205-207 (1983)). Rather than undermining the majority circuits' reading of § 362(a)(3), therefore, § 542(a) bolsters it, making § 362(a)(3) a mechanism by which the estate may redeem the property interest § 542(a) creates.

When a statute distinguishes between "may" and "shall," "shall" clearly imposes a mandatory duty. Kingdomware Techs., Inc. v. United States, 136 S. Ct. 1969, 1977 (2016) (finding 38 U.S.C. § 8127(d)'s use of "shall" indicated a command where § 8127(b) and (c) used "may," reasoning Congress knew how to distinguish between a command and permission). Further, "when Congress includes particular language in one section of a statute but omits in another section of the same Act, it is generally presumed Congress acts intentionally and purposely in the disparate inclusion or exclusion." Russello v. United States, 464 U.S. 16, 23, (1983) (quoting United States v. Wong Kim Bo, 472 F.2d 720, 722 (5th Cir. 1972)); Rea v. Federated Inv'rs, 627 F.3d 937, 940 (3d Cir. 2010) (holding § 525(b) of the bankruptcy code did not prohibit private employers from denying employment to any person who had been bankrupt where § 525(b), which specified forms of discrimination private actors could not engage in, removed the phrase, "deny employment to any person who has been bankrupt solely on the basis of their previous bankruptcy," which was present in § 525(a), which regulated discrimination by government employers, reasoning the similarity in language between the two indicated Congress modeled § 525(b) off of § 525(a)).

Section 542(a)'s own text plainly states it is self-executing. Section 542(a) states entities in control of property the trustee may use under § 363 "shall deliver" such property to the trustee. Section 542(e), on the other hand, states courts "may" order turnover of recorded information relating to the debtor's property or financial affairs to the trustee. As the Kingdomware court reasoned, Congress, by using "shall" and "may" in different subsections of a statute, demonstrated it knew how to distinguish between permission and an order within that statute. Thus, just as "shall" indicates a command in § 8127(d), it must indicate a command in § 542(a). Therefore, while courts have discretion to order turnover of the recorded information referenced in § 542(e), entities in control of property referenced in § 542(a) have no discretion. Allowing

one of these entities to delay turnover beyond the time of the filing would give it discretion over when to give the property to the estate.

Further, no unstated requirement of court intervention may be read into § 542(a). Section 542 contemplates three broad scenarios in which an entity must turn over property to the trustee. However, only § 542(e) makes a court order a condition precedent to turnover: "after notice and a hearing, the court may order . . . [a] person that holds recorded information . . . relating to the debtor's property or financial affairs, to turn over or disclose such recorded information to the trustee." 11 U.S.C. § 542(e). Such a requirement is obviously missing from § 542(a), which states only that an entity in control of property the trustee may use under § 363 "shall deliver" such property to the trustee. In Rea, § 525(a) provided various protections for individuals who had previously declared bankruptcy against discrimination by a public employer, including an explicit statement that the government could not deny employment to individuals who had been bankrupt solely on the basis of their previous bankruptcy. § 525(b), on the other hand, provided all of the same protections against discrimination by private employers, minus any explicit statement forbidding the denial of employment solely on the basis of a previous bankruptcy. In this case as in Rea, Congress has demonstrated it knows how to create a condition in one subsection of a statute and has not included that condition in another. Thus, just as § 525(b) created no protections for individuals who had previously declared bankruptcy against private sector hiring discrimination, § 542(a) places no requirement of court intervention on turnover.

ii. The "Passive Violation" Interpretation of § 362(a)(3) Is Consistent With § 542(a) And § 363 Because Adequate Protection Is Not A Condition Precedent to Turnover.

Although the minority also relies on one other alleged conflict between § 542(a) and § 362(a)(3), this argument contradicts Supreme Court precedent and departs from § 542(a)'s text. The minority argue that the "passive violation" reading of § 362(a)(3) renders certain "explicit

limitations" on § 542(a) meaningless. R. at 13; Hall, 502 B.R. at 659-661. Section 542(a) states that it applies "[e]xcept as provided in § 542(c) and (d)" and "unless such property is of inconsequential value or benefit to the estate." 11 U.S.C. § 542(a) (2018). Further, § 542(a) only requires turnover of property of the estate the trustee may use under § 363. Section 363(b)(1) provides the trustee may only use property of the estate. Section 542(a) thus does not require turnover of anything that is not property of the estate. The "passive violation" rule, though, does not destroy any of these limitations. If a creditor wishes to raise any of these defenses, they may do so at the adversary hearing. If successful, the property would not have been subject to turnover in the first place, and no violation of the automatic stay would have occurred. The minority depends entirely on an additional, so-called "explicit" limitation, which is not, in fact, mentioned by § 542(a), and which runs contrary to this Court's holding in Whiting Pools.

The minority contend that the right to adequate protection is self-effectuating. If this is true, then a "passive violation" rule would subject a creditor seeking to enforce its right to adequate protection to an automatic stay violation. Unlike a creditor who successfully persuades a court of any of the previously mentioned defenses to § 542(a), a creditor's post-petition actions do not fall retroactively outside the scope of § 362(a)(3) by winning an order of adequate protection. The minority supports its position with one textual argument.[2] § 542(a)'s reference to § 363 apparently turns § 363(e)'s passage declaring that "on request of an entity that has an interest in property . . . the court . . . shall . . . prohibit or condition [the trustee's] use, sale, or lease [of such property] as is necessary to provide adequate protection of such interest" into a creditor's right, existing prior to an adequate protection request, to retain property otherwise subject to turnover until the court determines what, if any, prohibitions or conditions on the

[2] The minority also supports its position with a policy-based argument. This brief will address the minority's policy argument in its final section.

trustee's use of the property may be necessary. 11 U.S.C. 542(a) (2018). However, the text of § 363(e) creates a right to adequate protection which, unlike § 542(a), is not self-effectuating.

If a statute adopts the terms of another only by referencing it, "the effect is the same as though the statute or provisions had been incorporated bodily into the adopting statute." United States v. Myers, 553 F.3d 328, 331 (4th Cir. 2009) (internal citations omitted) (holding the provisions of a statute incorporated by reference into another statute were valid in the incorporating statute as originally referenced even though the incorporated statute had been repealed). Further, the right to adequate protection is not self-effectuating. Matter of Kain, 86 B.R. 506, 512 (Bankr. W.D. Mich. 1988) (holding an agency not entitled to adequate protection because it did not request adequate protection); In re Hinckley, 40 B.R. 679, 681–82 (Bkrtcy.D. Utah 1984) (holding a creditor entitled to adequate protection on a depreciating vehicle only after making an informal request). Moreover, creditors only have a right to adequate protection ordered by a court, not to the ability to acquire adequate protection themselves. Weber, 719 F.3d at 82 (holding turnover effective from the moment of a bankruptcy filing where a creditor repossessed a vehicle prepetition and refused to turn it over before a court heard its request for adequate protection, reasoning that allowing the creditor to hold collateral during ongoing adequate protection litigation would allow the creditor the to negotiate with the debtor for a better security package than it would have received from the court).

Finally, the Supreme Court held that "[§] 542(a) simply requires the [creditor] to seek protection of its interest according to the congressionally established procedures, rather than by withholding the seized property." Whiting Pools 462 U.S. at 203-12 (reasoning that inclusion of all the debtor's property in the estate was essential to reorganization and that "[a]lthough Congress might have safeguarded the interests of secured creditors outright by excluding from

the estate any property subject to a secured interest, it chose instead to include such property in the estate and to provide secured creditors with 'adequate protection' for their interests").

Section 542(a)'s reference to § 363 does not make a court ruling on a request for adequate protection a condition precedent to turnover. Section 542(a) states that a trustee must turn over "property that the trustee may use, sell, or lease under section 363." Just as in Myers, where Congress only referenced another statute, Congress here uses no language conditioning the incorporation of § 363. Thus, a court can only use the reference to § 363 to construe any limits on turnover that exist in that statute. The text of § 363(e) could not be clearer: a court may only grant a request for adequate protection "on request."

Precedent also establishes that the right to adequate protection is not self-effectuating. In both Kain and Hinckley, courts ruled creditors have no right to adequate protection before the point at which they ask for it. Creditors cannot preserve their right to adequate protection by withholding property subject to turnover because, simply, without asking for this right, they have no right to preserve. Additionally, in Weber, the court observed that § 363 gave creditors only a right to the protection deemed adequate by a court. As such, § 363 gives creditors no right to secure adequate protection for themselves. Allowing creditors the opportunity to hang onto property of the estate furthers only creditors' ability to secure the adequate protection they believe, or claim to believe, they are entitled to. Disallowing passive retention, therefore, does not limits any rights of the creditor.

Finally, the minority position on adequate protection and turnover contradicts the this Court's ruling in Whiting Pools. The Court in Whiting Pools noted that Congress deliberately elected to include secured creditors' collateral in the property of the estate because doing so furthered chapter 11 debtors' ability to reorganize. Thus, Congress positioned the estate's right to reorganize above the rights of individual secured creditors. However, Congress did not eliminate

individual secured creditors' rights entirely. "Section 542(a) simply requires the [creditor] to seek protection of its interest according to the congressionally established procedures, rather than by withholding the seized property." Whiting Pools, 462 U.S. at 212. Therefore, where the rights of individual secured creditors trade off with the estate's ability to dispose property, Congress prioritizes the estate's rights so long as secured creditors who request adequate protection can receive it. Thus, because secured creditors who request adequate protection may still receive it, adequate protection need not be a condition precedent to turnover.

C. Public Policy Considerations Support the "Passive Violation" Interpretation of § 362(a)(3).

The minority circuits criticize the majority for basing their position on "passive violation" on policy considerations rather than on the text of the bankruptcy code. See Hall, 502 B.R. at 654; R. at 11. While the majority certainly supports its position with policy considerations, it grounds its readings of §§ 362(a)(3) and 542(a) in text. On the other hand, the minority's reading of § 542(a) finds no support in the text. Instead, the minority's conclusion that § 542(a) has an implied exception for creditors seeking adequate protection rests on concerns for the effects the lack of an exception would have on these creditors. Moreover, the Thirteenth Circuit's opinion does not weigh these policy considerations against the policy considerations the majority supports its position with. See R. at 13-14.

Moreover, weighing the majority's policy considerations against the minority's is not merely an intellectual exercise. If the court cannot resolve the arguments on both sides of the "passive retention" textual debate, it may look to public policy arguments to determine what Congress meant to do with its 1984 amendment of § 362(a)(3). See United States v. Manning, 526 F.3d 611, 614-21 (10th Cir. 2008) (holding 18 U.S.C. § 1001(a)-(b) criminalized false statements made to probation officers where § 1001(a) criminalized false statements in any

matter within the jurisdiction of any branch of the federal government, § 1001(b) made an exception for statements submitted "to a judge," and perjury statutes and ethical obligations penalizing false statements under oath existed, reasoning "judge" an ambiguous word, given it must cover certain agents of judges, such as clerks, but potentially not others, and that probation officers should fall outside the meaning of "judge," given public policy favors disincentivizing lying to probation officers, but no other statute could serve this purpose).

The majority's chief concern about a world in which courts adopt the minority's position is that

> persons who could make no substantial adverse claim to a debtor's property in their possession could, without cost to themselves, compel the debtor or his trustee to bring suit as a prerequisite to returning the property, [and] the powers of a bankruptcy court and its officers to collect the estate for the benefit of creditors would be vastly reduced.

Del Mission, 98 F.3d at 1151. On the other hand, the minority is concerned that, should courts adopt the majority's position, secured lenders holding a possessory lien "would be forced to choose between (i) immediately turning the property over, thereby potentially losing their possessory lien, or (ii) willfully violating the stay by retaining such property pending a determination of their rights." R. at 13-14. The minority also worries that forcing secured creditors to turn over collateral before receiving adequate protection risks loss of value to the collateral.

Bankruptcy law has dual goals. On one hand, the Code is designed to give debtors a "fresh start." On the other hand, the Code seeks fair and final distribution of the debtor's assets to his or her creditors. Selinsky, 365 B.R. at 267. Therefore, policy decisions regarding bankruptcy law should seek to further both of these goals. Id.

First, the majority circuits' position furthers the "fresh start" goal of bankruptcy law moreso than the minority's. Debtors, like Backstreets, need the property their creditors cling onto

in order to get their businesses going again or otherwise generate revenue. As this case shows, debtors frequently have no other way to put themselves in a position to participate meaningfully in the economy again. Debtors therefore face more obstacles in the way of their "fresh start" in a world where creditor, regardless of their ability to make substantial adverse claims to the property, may passively retain property of the estate than they would in a world where the "passive retention" rule governs.

Second, the majority circuits' position furthers fair and final distribution of the debtor's assets to creditors. While the minority's policy arguments concern only the rights of some secured creditors, the majority's concern the rights of all creditors. Some secured creditors will be forced to choose between losing their possessory liens and violation of the automatic stay. However, the only reading of the bankruptcy code that would eliminate this problem allows all creditors who hold property repossessed prepetition to leverage for themselves a greater amount of asset protection in exchange for turnover. This harms the rights of other creditors in two ways. First, no other creditor has the advantage afforded by this negotiating tool. Second, all of the resources that debtors either expend in the process of litigating or that debtors must give up settling such litigation diminishes funds that otherwise would go toward repayment of debt owed to all creditors.

Even if the court finds that § 362(a)(3) is ambiguous, policy considerations demonstrate that Congress intended "passive retention" to violate the automatic stay. In Manning, the court recognized that if probation officers fell within the meaning of "judge," no penalty existed to disincentivize anyone from lying to probation officers. The court weighed the differences between a world in which individuals faced no penalty for lying to their probation officers against a world in which they did. Just in Manning, where Congress intended to write a statute that disincentivized lying to probation officers, here Congress intended to write a statute that

incentivizes behavior in furtherance of the central goals of the Bankruptcy Code. Indeed, the proximity of the 1984 amendment to this Court's 1983 Whiting Pools decision supports this conclusion. Between the Whiting Pools holding and the amendment, creditors faced perverse incentives. Because Whiting Pools held the estate could pursue turnover of repossessed property through § 542(a), but no penalty existed for creditors who simply waited until trustees filed adversary proceedings, creditors had an incentive to hang onto property of the estate until trustees demanded turnover. The diversion of estate assets away from reorganization and liquidation processes left all creditors with diminished compensation. The debtor also faced a steeper climb to his or her "fresh start." Exceptions to "passive violation" for individuals seeking adequate protection would eviscerate this goal by simply allowing any creditor to claim adequate protection, regardless of their truly felt need for it. As such, Congress must have intended the 1984 amendment to § 362(a)(3) to solve this problem by incentivizing individual creditors to act for the mutual benefit of all creditors. Therefore, Congress intended to make "passive retention" a violation of the automatic stay.

II. Section 503(b)(3)(D) Strictly Limits Recovery of Administrative Expenses for Substantial Contributions to Solely Chapter 9 and 11 Cases.

Dependency on feeble contextual arguments in statutory interpretation is leaned upon, much like a crutch, when the plain meaning of a statute contradicts the opposing party's frail position. Proponents of unorthodox statutory construction attempt to pervert the language and intent, whereas the plain reading suggests a more natural meaning. Analogously, the Respondent attempts to broaden the construction of § 503(b)(3)(D) beyond its reasonable understanding. In doing so, the Respondent relies upon the construction of the term "including" and broadens its scope far beyond its intended application.

An overwhelming majority of circuit courts adopt the precept of statutory interpretation *expressio unius est exclusio alterius*. See BLACK'S LAW DICTIONARY (10th ed. 2014). This

maxim dictates that the enumeration of specific examples of a statute's application restricts courts to apply the statute only to those circumstances. Chevron U.S.A. v. Echazabal, 536 U.S. 73, 81 (2002). Moreover, this interpretation conforms with Congress' intent to ensure maximum distribution of the debtor's estate to all creditors. However, Respondent alleges that equitable considerations in bankruptcy law mandate inclusion of the unauthorized expenses that Respondent incurred merely because they coincidentally made a substantial contribution to the debtor's estate. Congress did not intend to restrict such reimbursement. As such, Weinberg should be denied a path to his desired relief because he did not adhere to appropriate administrative procedure by failing to first obtain court approval to incur the administrative expense.

A. Conventional Judicial Construction of § 503 Expressly Excludes Administrative Expenses Incurred In Chapter 7 Cases.

When a statute's language is drawn into question, the initial step is to evaluate the disputed provision according to its terms. "[W]hen the statute's language is plain, the sole function of the courts—at least where the disposition required by the text is not absurd—is to enforce it according to its terms." Hartford Underwriters Ins. Co. v. Union Planters Bank, N.A., 530 U.S. 1, 6 (2000) (quoting United States v. Ron Pair Enterprises, Inc., 489 U.S. 235, 241 (1989)). "'[W]here Congress includes particular language in one section of a statute but omits it in another section of the same Act, it is generally presumed that Congress acts intentionally and purposely in the disparate inclusion or exclusion.'" Russello, 464 U.S. at 23 (quoting Wong Kim Bo, 472 F.2d at 722). To that end, a case concerning whether a creditor may recover administrative expenses arising from a substantial contribution in a chapter 7 case rather than a chapter 9 or 11 case must specifically refer to § 503(b)(3)(D). Section 503(b)(3)(D) allows for "the actual, necessary expenses . . . incurred by - . . . a creditor . . . in making a substantial contribution in a case under chapter 9 or 11 of this title. . . ." 11 U.S.C. § 503(b)(3)(D) (2018).

Therefore, the provision establishes two separate requirements: (1) the claimant be a creditor of the estate; and (2) the creditor make a substantial contribution to the chapter 9 or 11 bankruptcy estate. Mosier v. Kupetz (In re United Educ. & Software), 2005 WL 6960237, at *4 (B.A.P. 9th Cir. Oct. 7, 2005).

One solitary circuit court permits administrative expenses that arise from substantial contributions in chapter 7 proceedings based on the prefatory language in § 503(b) in combination with § 102(3). Section 503(b) states: "After notice and a hearing, there shall be allowed administrative expenses . . . including - . . . ." 11 U.S.C. § 503(b) (2018) . Further, § 102(3) reads that the term "including" is "not limiting." 11 U.S.C. § 102(3) (2018). The Thirteenth Circuit subscribes to the broad perspective suggested under § 503(b) to permit Weinberg's recovery of administrative expenses. However, subscribing to this term construction stretches the application of § 503(b) beyond its designed purpose.

The majority opinion adopts the Sixth Circuit's holding permitting administrative expenses for substantial contributions made in chapter 7 cases as prescribed in Mediofactoring v. McDermott (In re Connolly N. Am., LLC), 802 F.3d 810, 816 (6th Cir. 2015). In Connolly, the court held that attachment of the term "including" indicates that Congress never intended to create an exhaustive list of allowable expenses but rather create a mechanism for courts to reimburse creditors for expenses not specifically allowed under § 503(b)'s subsections. Connolly, 802 F.3d at 816. Furthermore, the Sixth Circuit held that Congress did not contemplate chapter 7 cases under § 503(b)(3)(D) because creditors often incur expenses to benefit a chapter 9 or 11 bankruptcy estate. Id. The trustee traditionally fulfills this role in a chapter 7 case. Id. However, broadening the allowable administrative expenses enumerated under § 503(b) to encompass § 503(b)(3)(D) so that they are not exhaustive, but rather illustrative, generates contradictions that are irreconcilable with the majority opinion's reasoning.

First, the absence of non-limiting language in § 503(b)(3)(D) demonstrates the restrictive intent of the subsection. Although §§ 503(b)(1)–(9) represent a non-exhaustive enumeration of allowable administrative expenses, the absence of a similar modifier under §503(b)(3)(D)—as opposed to the presence of "including" under § 503(b)(1)(A)—clearly counteracts the prefatory language's non-limiting scope. See 11 U.S.C. § 503(b)(3) (2018); 11 U.S.C. § 503(b)(3)(D) (2018); but see 11 U.S.C. § 503(b)(1)(A) (2018). Thus, while Congress may have intended to accommodate unforeseen administrative expenses—with the addition of "including" under § 503(b) or § 503(b)(1)(A)—they unmistakably intended for any expenses that result in a substantial contribution to a debtor's estate be limited to solely chapter 9 or 11 proceedings. See In re Al Copeland Enters., Inc., 991 F.2d 233, 238 (5th Cir. 1993) (finding that post-petition interest accrued on state sales tax withholdings constituted an administrative expense beyond those enumerated under § 503(b)(3)). Concurrently, broadening § 503(b)(3)(D) to embrace chapter 7 proceedings casts aside the long-held tenant of statutory construction that *expressio unius est exclusio alterius*. The exclusion of "including" infers an intention to restrict the provision's application to the specific examples postulated. United, 2005 WL 6960237, at *7. If Congress had intended to include chapter 7 proceedings to those enumerated under § 503(b)(3)(D), they would have added it to the provision.

Accordingly, the majority of circuit courts refuse to expand the types of proceedings under § 503(b)(3)(D) to encompass what Respondent contemplates. In Lloyd, the Third Circuit denied recovery of customer expenses under the Securities Investor Protection Act (SIPA) despite holding that SIPA incorporated § 503 of the Bankruptcy Code and required SIPA proceedings to be treated like chapter 7 proceedings under § 78fff(b). In re Lloyd Sec., 75 F.3d 853, 857–58 (3d Cir. 1996). Here, Weinberg commenced his investigation when the case was a chapter 7 proceeding and not a chapter 9 or 11 proceeding. R. at 7. Although § 503(b)(3) is

designed for conditional allowances, § 503(b)(3)(D) explicitly limits recovery in the manner proposed by Respondent.

Second, expenses incurred after a chapter 11 proceeding is converted to a chapter 7 proceeding are impermissible post-conversion. In Lebron, although the Third Circuit remanded the case for a determination of expenses that were incurred prior to the chapter 11 petition filing, the court denied all expenses that were incurred after the case was converted to a chapter 7 proceeding because these expenses could not have made a substantial contribution to a chapter 11 proceeding. Lebron v. Mechem. Fin., 27 F.3d 937, 945 (3d Cir. 1994); see also Lloyd, 75 F.3d at 855–56. Similarly, the debtor converted his chapter 11 petition to a chapter 7 proceeding. R. at 6–7. However, Weinberg did not commence his investigation into the debtor's accounts until two months after the case was converted to a chapter 7 case. R. at 7. Although Weinberg's investigation ultimately resulted in a substantial contribution to the debtor's estate, the scope of § 503(b)(3)(D) prohibits Weinberg's expenses. R. at 7. Thus, any resulting contribution to the debtor's estate is expressly prohibited under § 503(b)(3)(D).

Third, the majority misconstrues lower court holding that support broadening §503(b) to encompass chapter 7 proceedings. In addition to Connolly, the majority cites four separate bankruptcy cases to bolster its position. See In re Javed, 592 B.R. 615 (Bankr. D. Md. 2018); In re Maust Transp., Inc., 589 B.R. 887 (Bankr. W.D. Wash. 2018); In re Health Trio, Inc., 584 B.R. 342 (Bankr. D. Colo. 2018); In re Maqsoudi, 566 B.R. 40 (Bankr. C.D. Cal. 2017); R. at 18. However, although these cases concern administrative expenses resulting from chapter 7 proceedings, their rulings are founded upon extraordinary circumstances that exist beyond the scope of the statute. In Javed, the court held that "only extraordinary circumstances warrant the award of an administrative expense claim to an individual creditor in a chapter 7 case." Javed, 592 B.R. at 617. The creditor was the sole party in a position to disclose the debtor's prepetition

transfer of assets to friends and family because of prior adversarial proceedings against the debtor. Javed, 592 B.R. at 617. Here, Weinberg was not in any exceptional position that meant that he alone could ascertain the debtor's prepetition activities. Furthermore, Weinberg offers no justification for why he commenced a creditor's examination of the debtor's estate. R. at 7. Merely choosing to pursue a hunting expedition without authorization from either the Trustee or the court hardly constitutes an extraordinary circumstance and should not pave a path towards recovery regardless of the contribution to the estate.

Respondent's efforts duplicated the Trustee's ability to manage the debtor's estate because he was able to confer with the Trustee prior to commencing the action. Although expenses that the trustee is unable to fulfill may be compensable—pending the trustee's approval—expenses incurred as a result of efforts that the trustee could have performed are not. In Maust, only administrative expenses that the trustee could not finance, due to lack of adequate funds in the estate, were held to be recoverable by the unsecured creditor. Maust, 589 B.R. at 899–901. Any additional claimed administrative expenses were not allowed because the costs were duplicative of the efforts of the trustee and his legal counsel. Id. Here, Weinberg made no effort to coordinate with the Trustee to conduct a creditor's assessment of the debtor's estate. Had he attempted to, Weinberg would certainly have failed to make a plausible argument justifying the expense because he had no evidence to support such an action. Further, there is no evidence as to whether the Trustee was incapable of paying for a creditor's investigation into the debtor's prepetition transfer of assets or how Weinberg's effort would not be duplicative of the Trustee.

As a secondary justification for its position, the majority opinion attempts to prevail by spouting that Bankruptcy Law's traditional underpinnings of equitable considerations permit the inclusion of chapter 7 cases under § 503(b).

B. The Overwhelming Evidence of a Contrary Legislative Intent Supersedes Any Equitable Considerations As a Case For Broadening § 503(b)(3)(D).

Equitable considerations do not justify imposing a strained interpretation of a statute when the purpose and underlying intent clearly indicates a contrary objective. Congress' intent in crafting § 503(b) is clear when viewed in its entirety. By doing so, the tenant of statutory construction *expressio unius est exclusio alterius* reveals that the deliberate enumeration of chapter 9 or 11 cases under § 503(b)(3)(D) by Congress reflects a purposeful intent to exclude chapter 7 proceedings. See Chevron, 536 U.S. at 81 (naming two things or more in a series supports the inference that an unnamed term was meant to be excluded). However, "a court should always turn to one, cardinal canon before all others. We have stated time and again that courts must presume that a legislature says what it means and means in a statute what it says there." Germain, 503 U.S. at 253–54.

First, the majority opinion reasons that equitable principles govern broad interpretation of § 503(b)(3)(D) to encompass chapter 7 proceedings based on the Sixth Circuit's split decision in Connolly. The "'overriding consideration that equitable principles govern the exercise of bankruptcy jurisdiction[,]' highlighted by the Supreme Court." Connolly, 802 F.3d at 814 (quoting Bank of Marin v. England, 385 U.S. 99, 103 (1966)). However, "the equitable nature of a bankruptcy proceeding does not untether a bankruptcy court from the strictures of the Bankruptcy Code itself." Id. at 820 (O'Malley, dissenting). Further, "the equitable power of a bankruptcy court 'can only be exercised within the confines of the Bankruptcy Code.'" Id. (quoting Law v. Siegal, 134 S. Ct. 1188, 1194–95 (2014)). Thus, any interpretation must still comport to the limits delineated within the statute itself.

Equitable considerations do not call for recovery when the totality of the creditor's actions indicate a contrary intent. Only those actions that are performed for the estate's benefit are recoverable. Maqsoudi, 566 B.R. at 45. Action spurred by a creditor without the requisite

intent to benefit the debtor's estate—or any other motivation—may not be claimed as an administrative expense that made a substantial contribution to the debtor's estate. Id. Here, Weinberg did not initiate the creditor's assessment with the motivation to benefit the debtor's estate. Respondent was merely attempting to fortify his own personal interest in the estate and ensure that he recovered the amount he loaned Clemons. Although equitable considerations may be weighed in rare instances that lead to a substantial benefit to an estate, there is no evidence suggesting such extraordinary circumstances exist here.

Respondent is not entitled to equitable considerations regarding administrative expenses incurred as a result of vindictive conduct because his underlying intent was to harm Clemons rather than make a substantial benefit to the estate. A creditor's efforts taken solely for his own self-interest cannot be compensated regardless of any incidental benefit to the estate. Lebron, 27 F.3d at 944; In re Lister, 846 F.2d 55, 57 (10th Cir. 1988). Further, reimbursement is precluded if "the creditor's actions were designed primarily to serve its own interests and would have been undertaken without any expectation of reimbursement from the estate." 4 Collier on Bankruptcy ¶ 503.10 (16th ed. 2018). Here, Weinberg did not possess intimate knowledge of Clemons' prepetition activities. There was no evidence to suggest that such an investigation was warranted or necessary. See R. at 3–9. Further, Respondent initiated the assessment on his own, without attempting to coordinate with the Trustee. The discovery of the debtor's transfer of assets to his family was a fortunate happenstance incidentally benefitting the debtor's estate.

To attain equitable considerations from a court, one's own conduct must conform to equitable principles. The totality of the circumstances demonstrate that the creditor is not entitled to equitable considerations because he did not act equitably in settling the debtor's estate. Similar to how a creditor's actions early in the case may provide a substantial benefit to the debtor's estate, a creditor's actions later in the case may prove to bear a substantial cost to the debtor's

estate that precludes recovery of administrative expenses. See Javed, 592 B.R. at 617–18. Here, although Weinberg's decision to perform a creditor's assessment may have identified the debtor's prepetition transfer of assets, Weinberg's subsequent actions directly contributed to a substantial loss to the debtor's estate. R. at 8. Tenth Avenue approached the Trustee and attempted to negotiate a purchase of substantially all of Backstreet's assets including the snow plow trucks Weinberg possessed. Id. Consequently, the Trustee attempted to negotiate with Weinberg to return the assets he possessed to complete the sale for the benefit of the debtor's estate. Id. However, Weinberg's refusal to cooperate ultimately led to Tenth Avenue's withdrawal. Id. Then, when Stone Pony made an offer to purchase the debtor's business sans the assets in Weinberg's possession, Weinberg's refusal directly led to a decrease in the debtor's estate of $100,000. R. at 8–9.

Second, the Thirteenth Circuit's interpretation of § 503(b), allowing for the inclusion of administrative expenses in chapter 7 proceedings, renders § 503(b)(3)(D) without meaning. "It is 'a cardinal principle of statutory construction' that 'a statute ought, upon the whole, to be construed that, if it can be prevented, no clause, sentence, or word shall be superfluous, void, or insignificant.'" TRW Inc. v. Andrews, 534 U.S. 19, 31 (2001) (quoting Duncan v. Walker, 533 U.S. 167 (2001)). "It is the duty of the court to give effect, if possible, to every clause and word of a statute, avoiding, if it may be, any construction which implies that the legislature was ignorant of meaning of the language it employed." Montclair v. Ramsdell, 107 U.S. 147, 152 (1882). Granting such broad latitude in construing § 503(b) to include chapter 7 proceedings under § 503(b)(3)(D) would make explicitly citing chapter 9 or 11 proceedings superfluous. As a result, the inclusion of "in a case under chapter 9 or 11 of this title" bears no effect on the reading of the statute in its entirety. 11 U.S.C. § 503(b) (2018); 11 U.S.C. § 503(b)(3)(D) (2018). Additionally, such an alteration to the statutory construction would effectively permit recovery

of administrative expenses resulting from any substantial contribution to the debtor's estate. If the listing of chapter 9 or 11 proceedings is merely illustrative, then prohibiting recovery in other bankruptcy proceedings is not reasonably justified. If the administrative expense results in a substantial contribution to the debtor's estate, the expense should be permissible. However, permitting such an interpretation would rebuke the ample prior precedent that rejects such statutory interpretation.

Congress intended to limit the circumstances that a creditor may recover administrative expenses to chapter 9 or 11 proceedings. "Indeed, what little legislative history there is regarding § 503(b)(3)(D) indicates that Congress intended its scope to be limited." Connolly, 802 F.3d at 821 (O'Malley dissenting). Furthermore, prior versions of the Bankruptcy Act consistently show that only claims that resulted in a substantial contribution in chapter 9 or 11 proceedings were permissible. Id. at 822. The majority claims that chapter 7 proceedings are not enumerated under § 503(b)(3)(D) because it is typically the chapter 7 trustee that fulfills this role and it is only in the rarest circumstances that a creditor will fulfill the role of the trustee. R. at 19. However, § 503(b) does not preclude a creditor from recovering administrative expenses in a chapter 7 proceeding. A creditor still possesses an avenue towards recovery of expenses under either § 503(b)(3)(B) or § 503(b)(4). However, recovery under these provisions are conditioned upon receiving prior approval. See 11 U.S.C. § 503(b)(3)(B) (2018); 11 U.S.C. § 503(b)(4) (2018).

Third, limiting administrative expenses to only chapter 9 or 11 proceedings conforms with the underlying policy considerations motivating § 503(b). "Claims for administrative expenses under § 503(b) are strictly construed because priority claims reduce the funds available for creditors and other claimants." City of White Plains v. A & S Galleria Real Estate, Inc. (In re Federated Dep't Stores, Inc.), 270 F.3d 994, 1000 (6th Cir. 2001). Further, "it is important that the objectives of this system, to effect an equitable distribution of the assets of the debtor . . . ." B

Collier on Bankruptcy App. Pt. 4(c). Thus, administrative claims are paid directly from the bankruptcy estate and ultimately reduce the funds available to all creditors and other claimants. Connolly, 802 F.3d at 820 (O'Malley dissenting). Permitting Respondent to recover for his creditor's assessment would draw directly from the debtor's estate. It would effectively reduce the funds available to all creditors and other claimants.

Equitable considerations ought to restrict recovery of administrative expenses because they reduce available funds to other creditors. Meanwhile, Weinberg maintains possession of the debtor's assets. While the underlying policy behind § 503(b) is intended to promote equitable distribution of the debtor's assets to creditors and claimants, Weinberg is attempting to recover unauthorized administrative expenses in a chapter 7 proceeding while he maintains possession of his secured interest in the form of the debtor's snow plow trucks. While Weinberg's principle interest in the debtor's estate is safely locked away in Weinberg's warehouse, he continues to whittle away at the debtor's estate by attempting to pursue recovery for the expenses he incurred from investigating the debtor's prepetition activities. R. at 6. Further, by refusing to agree to the sale of the debtor's business to Tenth Avenue, Weinberg knew he was posing little risk to his own interests because although it would impact other creditors and claimants, his interest was safely locked away.

CONCLUSION

Respondent wishes to cloak his selfish motivations for retaining Backstreets' snowplow trucks in a flimsy reading of § 362(a)(3) only adopted by two circuits. Upon a deeper inspection of the governing statute's text, Respondent's attempt to avoid the "passive retention" rule clearly betrays § 362(a)(3)'s text. Moreover, Respondent cannot show that § 362(a) is inconsistent with the turnover provisions of the Code. Courts have consistently held that § 542(a) is self-effectuating, while the right to adequate protection in § 363(e) is not. To hold otherwise would

be another betrayal of these statutes' plain meaning. Moreover, if this Court is unconvinced that § 362(a)(3) unambiguously states that "passive retention" is a violation of the automatic stay, it will still observe that Congressional intent must have been to make it a violation. The policy effects of a contrary rule would eviscerate the goals of the "fresh start" and full and final distribution of estate assets to creditors. These goals are foundational to bankruptcy law.

The term "including" under § 503(b) should not be construed to broaden § 503(b)(3)(D) to encompass chapter 7 proceedings. Interpreting § 503(b) in this way strains the natural reading of the statute and abandons the longstanding canon of statutory construction that has repeatedly been upheld by this Court. Such a construction attempts to introduce circumstances that permit recovery even though the provision explicitly restricts it to limited cases. Further, such an interpretation renders the provision wholly immaterial and unnecessary. Interpreting § 503(b) as encompassing chapter 7 cases travels far outside the boundaries of what courts should be engaging in when interpreting statutory language and legislative intent. Finally, any equitable considerations for permitting recovery of the creditor's expenses should be rejected because equitable considerations should only be permitted in extraordinary circumstances that do not fall within the circumstances of this case. Respondent was not in any unique situation to add to the Debtor's estate, he was not fulfilling the role of the Trustee because the Trustee was not able to incur the expense, and Respondent did not bring an action which removed the Trustee. Respondent's contribution to the estate was merely an incidental benefit of an action neither authorized or reasonably foreseeable to permit recovery.

APPENDIX A

11 U.S.C. § 102(3)

Rules of Construction.

(3) "includes" and "including" are not limiting.

APPENDIX B

11 U.S.C. § 362(a)

Automatic Stay.

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—

(1) [omitted]

(2) [omitted]

(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

(4) [omitted]

(5) [omitted]

(6) [omitted]

(7) [omitted]

(8) [omitted]

APPENDIX C

11 U.S.C. § 363

Use, sale, or lease of property.

(a) [omitted]

(b)(1) The trustee, after notice and a hearing, may use, sell, or lease, other than in the ordinary course of business, property of the estate, except that if the debtor in connection with offering a product or a service discloses to an individual a policy prohibiting the transfer of personally identifiable information about individuals to persons that are not affiliated with the debtor and if such policy is in effect on the date of the commencement of the case, then the trustee may not sell or lease personally identifiable information to any person unless--

(A) such sale or such lease is consistent with such policy; or

(B) after appointment of a consumer privacy ombudsman in accordance with section 332, and after notice and a hearing, the court approves such sale or such lease--

(i) giving due consideration to the facts, circumstances, and conditions of such sale or such lease; and

(ii) finding that no showing was made that such sale or such lease would violate applicable nonbankruptcy law.

(b)(2) [omitted]

(c) – (d) [omitted]

(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to

property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362).

(f) – (p) [omitted]

APPENDIX D

11 U.S.C. § 503

Allowance of administrative expenses.

(a) [omitted]

(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including--

(1)(A) the actual, necessary costs and expenses of preserving the estate including--

(i) wages, salaries, and commissions for services rendered after the commencement of the case; and

(ii) wages and benefits awarded pursuant to a judicial proceeding or a proceeding of the National Labor Relations Board as back pay attributable to any period of time occurring after commencement of the case under this title, as a result of a violation of Federal or State law by the debtor, without regard to the time of the occurrence of unlawful conduct on which such award is based or to whether any services were rendered, if the court determines that payment of wages and benefits by reason of the operation of this clause will not substantially increase the probability of layoff or termination of current employees, or of nonpayment of domestic support obligations, during the case under this title;

(B) any tax--

(i) incurred by the estate, whether secured or unsecured, including property taxes for which liability is in rem, in personam, or both, except a tax of a kind specified in section 507(a)(8) of this title; or

(ii) attributable to an excessive allowance of a tentative carryback adjustment that the estate received, whether the taxable year to which such adjustment relates ended before or after the commencement of the case;

(C) any fine, penalty, or reduction in credit relating to a tax of a kind specified in subparagraph (B) of this paragraph; and

(D) notwithstanding the requirements of subsection (a), a governmental unit shall not be required to file a request for the payment of an expense described in subparagraph (B) or (C), as a condition of its being an allowed administrative expense;

(2) compensation and reimbursement awarded under section 330(a) of this title;

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by--

(A) a creditor that files a petition under section 303 of this title;

(B) a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

(C) a creditor in connection with the prosecution of a criminal offense relating to the case or to the business or property of the debtor;

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

(E) a custodian superseded under section 543 of this title, and compensation for the services of such custodian; or

(F) a member of a committee appointed under section 1102 of this title, if such expenses are incurred in the performance of the duties of such committee;

(4) reasonable compensation for professional services rendered by an attorney or an accountant of an entity whose expense is allowable under subparagraph (A), (B), (C), (D), or (E) of paragraph (3) of this subsection, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title, and reimbursement for actual, necessary expenses incurred by such attorney or accountant;

(5) reasonable compensation for services rendered by an indenture trustee in making a substantial contribution in a case under chapter 9 or 11 of this title, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title;

(6) the fees and mileage payable under chapter 119 of title 28;

(7) with respect to a nonresidential real property lease previously assumed under section 365, and subsequently rejected, a sum equal to all monetary obligations due, excluding those arising from or relating to a failure to operate or a penalty provision, for the period of 2 years following the later of the rejection date or the date of actual turnover of the premises, without reduction or setoff for any reason whatsoever except for sums actually received or to be received from an entity other than the debtor, and the claim for remaining sums due for the balance of the term of the lease shall be a claim under section 502(b)(6);

(8) the actual, necessary costs and expenses of closing a health care business incurred by a trustee or by a Federal agency (as defined in section 551(1) of title 5) or a department or agency of a State or political subdivision thereof, including any cost or expense incurred--

(A) in disposing of patient records in accordance with section 351; or

(B) in connection with transferring patients from the health care business that is in the process of being closed to another health care business; and

(9) the value of any goods received by the debtor within 20 days before the date of commencement of a case under this title in which the goods have been sold to the debtor in the ordinary course of such debtor's business.

(c) [omitted]

APPENDIX E

11 U.S.C. § 525

Protection against discriminatory treatment.

(a) Except as provided in the Perishable Agricultural Commodities Act, 1930, the Packers and Stockyards Act, 1921, and section 1 of the Act entitled "An Act making appropriations for the Department of Agriculture for the fiscal year ending June 30, 1944, and for other purposes," approved July 12, 1943, a governmental unit may not deny, revoke, suspend, or refuse to renew a license, permit, charter, franchise, or other similar grant to, condition such a grant to, discriminate with respect to such a grant against, deny employment to, terminate the employment of, or discriminate with respect to employment against, a person that is or has been a debtor under this title or a bankrupt or a debtor under the Bankruptcy Act, or another person with whom such bankrupt or debtor has been associated, solely because such bankrupt or debtor is or has been a debtor under this title or a bankrupt or debtor under the Bankruptcy Act, has been insolvent before the commencement of the case under this title, or during the case but before the debtor is granted or denied a discharge, or has not paid a debt that is dischargeable in the case under this title or that was discharged under the Bankruptcy Act.

(b) No private employer may terminate the employment of, or discriminate with respect to employment against, an individual who is or has been a debtor under this title, a debtor or bankrupt under the Bankruptcy Act, or an individual associated with such debtor or bankrupt, solely because such debtor or bankrupt--

(1) is or has been a debtor under this title or a debtor or bankrupt under the Bankruptcy Act;

(2) has been insolvent before the commencement of a case under this title or during the case but before the grant or denial of a discharge; or

(3) has not paid a debt that is dischargeable in a case under this title or that was discharged under the Bankruptcy Act.

(c)(1) A governmental unit that operates a student grant or loan program and a person engaged in a business that includes the making of loans guaranteed or insured under a student loan program may not deny a student grant, loan, loan guarantee, or loan insurance to a person that is or has been a debtor under this title or a bankrupt or debtor under the Bankruptcy Act, or another person with whom the debtor or bankrupt has been associated, because the debtor or bankrupt is or has been a debtor under this title or a bankrupt or debtor under the Bankruptcy Act, has been insolvent before the commencement of a case under this title or during the pendency of the case but before the debtor is granted or denied a discharge, or has not paid a debt that is dischargeable in the case under this title or that was discharged under the Bankruptcy Act.

(2) In this section, "student loan program" means any program operated under title IV of the Higher Education Act of 1965 or a similar program operated under State or local law.

APPENDIX F

11 U.S.C. § 542

Turnover of property to the estate.

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

(b) Except as provided in subsection (c) or (d) of this section, an entity that owes a debt that is property of the estate and that is matured, payable on demand, or payable on order, shall pay such debt to, or on the order of, the trustee, except to the extent that such debt may be offset under section 553 of this title against a claim against the debtor.

(c) Except as provided in section 362(a)(7) of this title, an entity that has neither actual notice nor actual knowledge of the commencement of the case concerning the debtor may transfer property of the estate, or pay a debt owing to the debtor, in good faith and other than in the manner specified in subsection (d) of this section, to an entity other than the trustee, with the same effect as to the entity making such transfer or payment as if the case under this title concerning the debtor had not been commenced.

(d) A life insurance company may transfer property of the estate or property of the debtor to such company in good faith, with the same effect with respect to such company as if the case under this title concerning the debtor had not been commenced, if such transfer is to pay a premium or to carry out a nonforfeiture insurance option, and is required to be made automatically, under a life insurance contract with such company that was entered into before the date of the filing of the petition and that is property of the estate.

(e) Subject to any applicable privilege, after notice and a hearing, the court may order an attorney, accountant, or other person that holds recorded information, including books, documents, records, and papers, relating to the debtor's property or financial affairs, to turn over or disclose such recorded information to the trustee.

APPENDIX G

18 U.S.C. § 1001

Statements of entries generally.

(a) Except as otherwise provided in this section, whoever, in any matter within the jurisdiction of the executive, legislative, or judicial branch of the Government of the United States, knowingly and willfully--

(1) falsifies, conceals, or covers up by any trick, scheme, or device a material fact;

(2) makes any materially false, fictitious, or fraudulent statement or representation; or

(3) makes or uses any false writing or document knowing the same to contain any materially false, fictitious, or fraudulent statement or entry;

shall be fined under this title, imprisoned not more than 5 years or, if the offense involves international or domestic terrorism (as defined in section 2331), imprisoned not more than 8 years, or both. If the matter relates to an offense under chapter 109A, 109B, 110, or 117, or section 1591, then the term of imprisonment imposed under this section shall be not more than 8 years.

(b) Subsection (a) does not apply to a party to a judicial proceeding, or that party's counsel, for statements, representations, writings or documents submitted by such party or counsel to a judge or magistrate in that proceeding.

(c) [omitted]

APPENDIX H

38 U.S.C. § 8127(d)

Small business concerns owned and controlled by veterans: contracting goals and preferences.

(d) Use of restricted competition.--Except as provided in subsections (b) and (c), for purposes of meeting the goals under subsection (a), and in accordance with this section, a contracting officer of the Department shall award contracts on the basis of competition restricted to small business concerns owned and controlled by veterans if the contracting officer has a reasonable expectation that two or more small business concerns owned and controlled by veterans will submit offers and that the award can be made at a fair and reasonable price that offers best value to the United States.